

Chill, trimmed pill prices won't hurt us

In his by-now familiar **conveyor belt** of executive orders (EO), Donald Trump's **latest EO** seeking international **consumer price parity** for prescription drugs sold in the US **is** welcome for many Americans for whom access to medicine has become a **veritable** luxury. However, **implementing** the order **could** be **tricky**. **Enforcement** action would involve export controls and import **facilitation**, which may be beyond the scope of **existing** US law. The move is **likely** to face legal challenges, as did an earlier attempt by Trump during his first term in office, to lower drug costs. The **administration**, however, **has** **leverage** through anti-competitive action against Big Pharma, and in **curbing** practices like the delayed introduction of cheaper generics. US drug companies have not faced **adverse** market reaction to the EO, suggesting the effort may not be strong enough to **squeeze margins**.

Indian drug exporters to the US operate mainly in the generics segment, which operates at low spreads. These are, therefore, unlikely to be affected by Trump's order. Washington will seek to increase imports from developed economies like Germany, Britain and France. Which means Indian pharmaceutical firms are **unlikely** to gain any special access to the US market in the branded segment. Besides, the US has **flagged**, during **negotiations** with China over **reciprocal tariffs**, **pharmaceuticals** as a sector that will continue to face **safeguard duties**.



This **sensitivity** has **so far** not been extended to **generic** imports from India that are **duty-exempt**. The US will seek reciprocal treatment for its pharma exports to India, which face **tariff barriers**. India has **carved out a niche** for itself as a supplier of affordable medicine across the world. It can use this 'pharmacy of the world' **rep** as leverage for **preferential** tariff treatment. Trump's **effort** to **keep a lid on** US healthcare spending **will** not be served by making Indian generics expensive. It helps to have a supply of cheap Indian generics **on hand** as Trump tries to **trim** what he sees as **padded** profits of the US drug industry. **[Practice Exercise]**

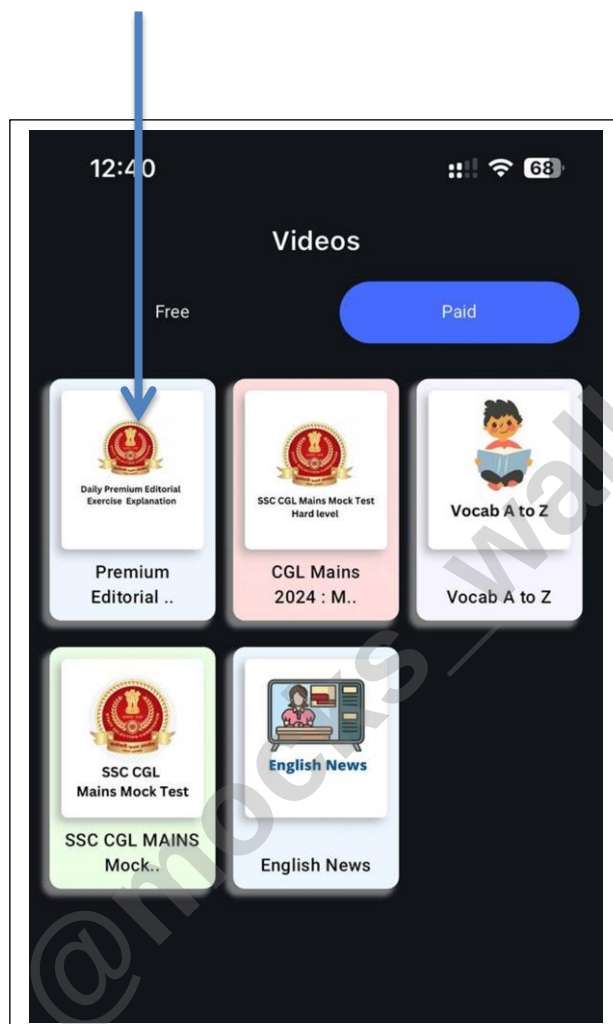
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Trimmed** (adjective) – reduced, decreased, cut, lowered, minimized
घटाया हुआ
2. **Conveyor belt** (noun) – a metaphor for a regular, rapid, and mechanical sequence of actions or events, especially implying lack of deliberation or variation. एक के बाद एक तेजी से आने वाली कार्यवाहियों की श्रृंखला
3. **Seek** (verb) – try, aim, pursue, request, strive प्रयास करना / माँग करना
4. **Consumer price parity** (noun) – it means that similar products or services are priced the same across different sales channels or platforms.
5. **Veritable** (adjective) – real, genuine, true, actual, authentic वास्तविक / असली
6. **Tricky** (adjective) – complicated, difficult, problematic, delicate, challenging पेचीदा
7. **Enforcement** (noun) – implementation, execution, application, imposition, administration – प्रवर्तन / अमल
8. **Facilitation** (noun) – assistance, easing, support, help, simplification सुविधा प्रदान करना
9. **Existing** (adjective) – current, present, available, prevailing, operational मौजूदा
10. **Likely** (adjective) – probable, expected, possible, anticipated, foreseeable
संभावित
11. **Leverage** (noun) – influence, advantage, bargaining power, control, sway लाभकारी प्रभाव / दबाव
12. **Curb** (verb) – restrain, limit, suppress, control, reduce रोक लगाना
13. **Adverse** (adjective) – negative, harmful, unfavorable, detrimental, hostile प्रतिकूल
14. **Squeeze** (verb) – reduce, compress, tighten, pressure, shrink घटाना
15. **Margin** (noun) – profit, difference, edge, leeway, buffer लाभान्श
16. **Unlikely** (preposition) – improbable, doubtful, unexpected, implausible, questionable असंभव
17. **Flag** (verb) – highlight, indicate, point out, raise, signal चिन्हित करना
18. **Negotiation** (noun) – discussion, talks, bargaining, dialogue, deliberation वार्ता
19. **Reciprocal tariff** (noun) – It is essentially retaliatory taxes on goods from a country that has imposed similar taxes on goods from the first country

20. **Pharmaceutical** (noun) – medicine, drug, medicament, remedy, treatment औषधि / दवा
21. **Safeguard duty** (noun) – a temporary measure used to limit the import of a specific good to prevent serious harm to a domestic industry. सुरक्षात्मक शुल्क
22. **Sensitivity** (noun) – awareness, delicacy, responsiveness, perceptiveness, susceptibility संवेदनशीलता
23. **So far** (phrase) – until now, up to this point, till date, hitherto, thus far – अब तक
24. **Generic** (adjective) – (of goods, especially medicinal drugs) having no brand name; not protected by a registered trademark. सामान्य दवा
25. **Duty-exempt** (adjective) – tax-free, tariff-free, exempted, untaxed, customs-free शुल्क-मुक्त
26. **Tariff barrier** (noun) – trade restriction, import duty, customs block, levy wall, protectionist policy शुल्क अवरोध
27. **Carve out a niche** (phrase) – create a position, establish oneself, specialize, build a reputation, distinguish विशेष स्थान बनाना
28. **Rep** (noun) – reputation, image, identity, standing, character छवि / प्रतिष्ठा
29. **Preferential** (adjective) – favored, advantageous, special, privileged, priority विशेषाधिकार प्राप्त / पसंदीदा
30. **Keep a lid on** (phrase) – control, suppress, regulate, restrain, keep in check नियंत्रण रखना
31. **On hand** (phrase) – available, accessible, ready, present, within reach उपलब्ध
32. **Trim** (verb) – reduce, cut, downsize, scale back, lower कम करना
33. **Padded** (adjective) – inflated, exaggerated, excessive, overestimated, bloated मोटा

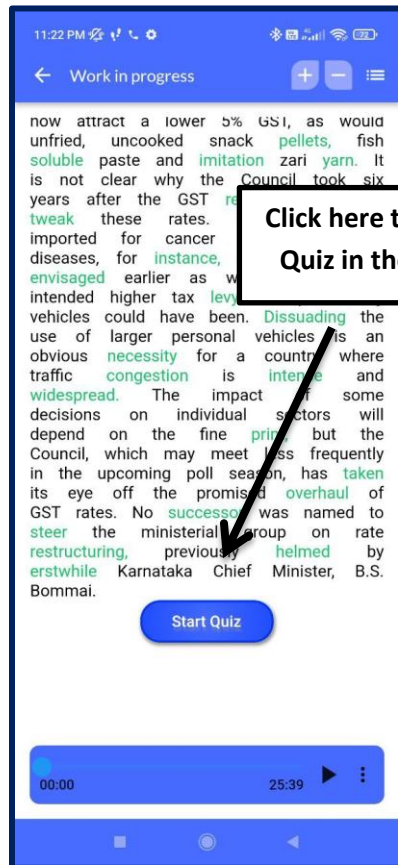
Video solution of Practice Exercise from this Editorial is exclusively available on App.



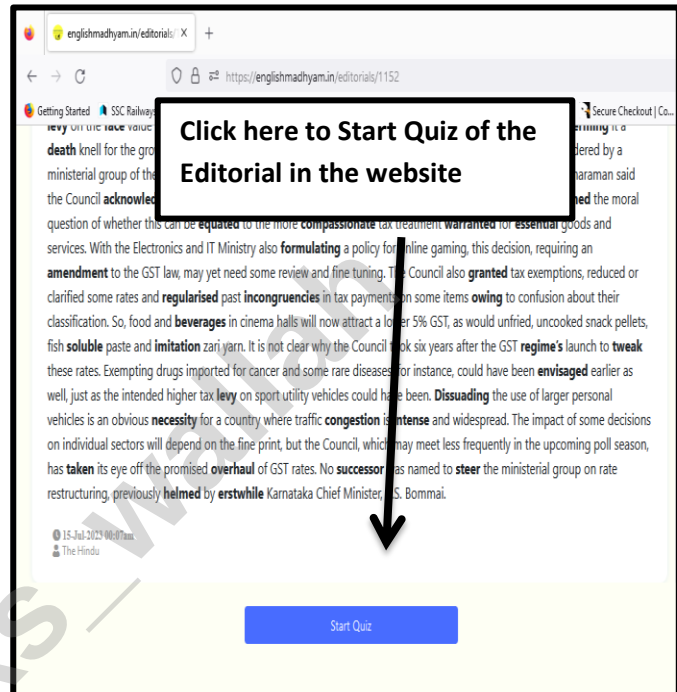
Summary of the Editorial

1. Donald Trump has issued a new executive order (EO) aiming to bring US drug prices in line with international consumer prices.
2. The EO is popular among Americans who struggle with high prescription drug costs.
3. However, implementing the EO could be difficult due to limitations in current US laws.
4. It may face legal challenges, as did similar attempts by Trump during his earlier term.
5. The US administration has some power through anti-trust action and curbing delays in generic drug introductions.
6. So far, US drug companies have not seen significant market losses, suggesting the EO may not significantly affect their profits.
7. Indian pharmaceutical exporters focus mainly on generics, a low-margin segment, and are unlikely to be negatively impacted.
8. Trump's EO targets branded drugs, especially from developed countries like Germany, the UK, and France.
9. Indian firms are unlikely to gain special market access in the US branded drug segment.
10. Pharmaceuticals have been flagged for continued safeguard duties in US-China trade talks.
11. Despite this, Indian generics remain duty-free in the US, preserving their competitiveness.
12. The US is expected to demand reciprocal tariff reductions for its pharma exports to India.
13. India, known as the 'pharmacy of the world,' supplies affordable medicines globally.
14. This reputation could help India negotiate preferential treatment for its pharma exports.
15. Trump's goal of reducing healthcare costs aligns with keeping Indian generics cheap and accessible in the US.

Practice Exercise: SSC Pattern Based



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